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# Large-cap IPOs: does valuation or a quant rule tell you more?

Across 96 IPOs worth $5bn+ (2010–2025), buying after listing lagged the index at every horizon, and simple rules that bet against new issues beat valuation-based buying — though the strongest of them depends heavily on the 2020–21 boom. In a pilot of 19 deals valued from their prospectuses with comps (EV/EBITDA, EV/Sales, P/E, dividend yield) and a DCF, the IPOs that traditional valuation rated attractive did not outperform. The same lag shows up across 131 large listings in Korea, India, Hong Kong and China.

Data snapshot 2026-10-19 · version 1.3.0 · code, data and tests · download results (CSV)

**+14%**
Median gain for allocation buyers, offer to first month-end

**−49 pts**
Median 3-year excess return, bought at first month-end

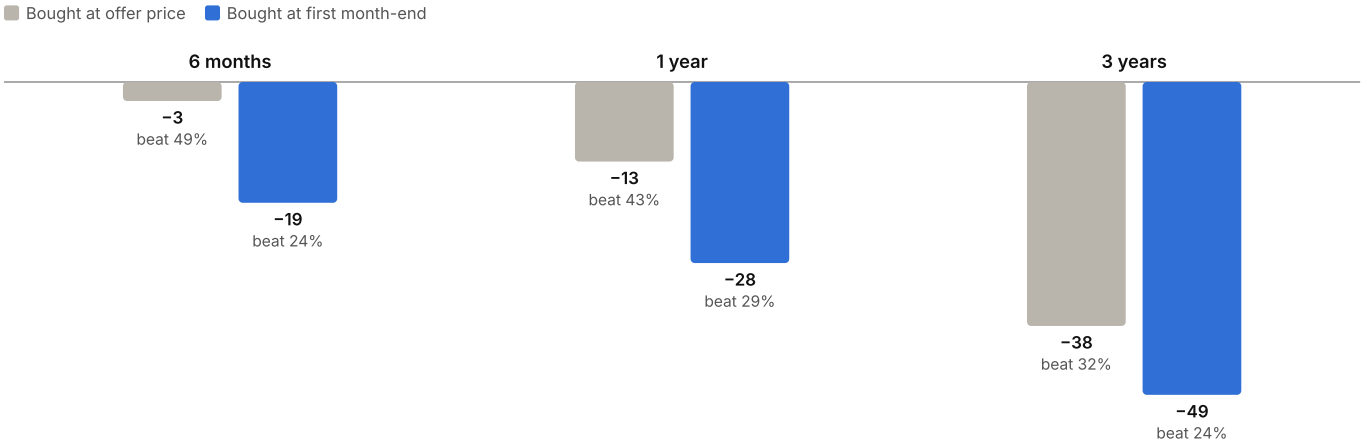
**24%**
Deals that beat the index over 3 years after listing

**+0.04**
Rank correlation of price-to-sales at offer with 3-year excess (0 = no signal)

## What happened after listing

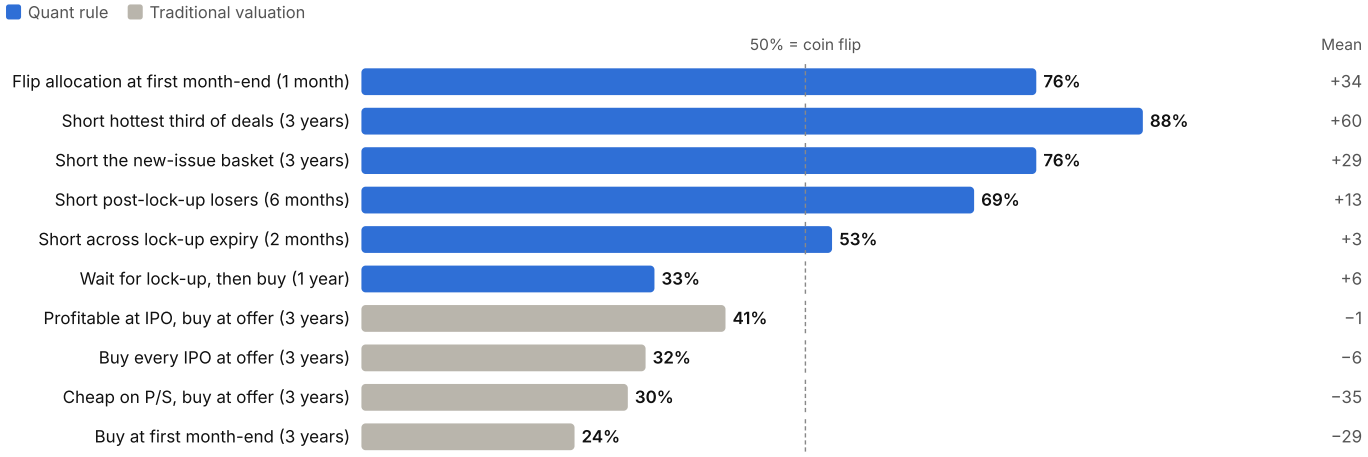
**The typical deal trailed the index at every horizon**

Median return minus benchmark (S&P 500 for US deals, MSCI ACWI for global). Label below each bar: share of deals that beat the index.



**Systematic rules beat every valuation screen**

Share of deals where the rule beat the index (flipping: share above the offer price). Mean excess return at right. Before trading and borrowing costs.




## Does it survive other specifications?

Each row reruns the whole study with one change. Anyone can rerun these with `make robustness`.

> Robust: buying after listing lagged the index in every variant. Not robust: the hot-deal short. Without the 2020–21 boom it earned +2 pts on average and was right 67% of the time; for 2010–2018 listings, −9 pts and 50%.

| Variant | Deals | Median 3y excess, after listing | Beat index, 3y | Median 3y excess, from offer | Short hottest third: mean 3y | Right | P/S rank corr. |
|---|---|---|---|---|---|---|---|
| Base case ($5bn+, 2010-2025, US + global) | 96 | −49 | 24% | −38 | +60 | 88% | +0.04 |
| Very large only ($10bn+) | 77 | −50 | 21% | −39 | +68 | 90% | −0.04 |
| Mega only ($25bn+) | 35 | −47 | 21% | −33 | +69 | 90% | +0.18 |
| US only | 79 | −57 | 24% | −41 | +61 | 90% | +0.08 |
| Global only | 17 | −29 | 25% | −14 | +57 | 80% | +0.34 |
| Excluding the 2020-21 boom | 64 | −34 | 30% | −19 | +2 | 67% | +0.19 |
| First half only: 2010-2018 listings | 32 | −10 | 34% | −2 | −9 | 50% | +0.15 |
| Second half only: 2019-2025 listings | 64 | −76 | 17% | −41 | +63 | 88% | +0.11 |
| Excluding the five best 3-year winners | 91 | −52 | 19% | −40 | +75 | 96% | −0.12 |

## Traditional valuation vs quant strategies

Pilot: 19 IPOs valued from their prospectuses with comparable multiples (EV/EBITDA, EV/Sales, P/E, dividend yield; P/B for the one financial) and a standard 10-year DCF. Each traditional rule buys the IPOs it rates attractive; the quant rules run on the same 19 deals.

| Strategy | Type | Entry | Trades | 1 month | 6 months | 1 year | 3 years |
|---|---|---|---|---|---|---|---|
| Dividend yield above industry | Traditional | offer | 2 | | +8% (50%) | −16% (50%) | −70% (0%) |
| Dividend yield above industry | Traditional | first month-end | 2 | | −10% (50%) | −32% (0%) | −84% (0%) |
| P/E below industry | Traditional | offer | 3 | | −2% (33%) | −6% (33%) | −10% (33%) |
| P/E below industry | Traditional | first month-end | 3 | | −8% (33%) | −13% (33%) | −22% (33%) |
| EV/EBITDA below industry | Traditional | offer | 1 | | −15% (0%) | −37% (0%) | −99% (0%) |
| EV/EBITDA below industry | Traditional | first month-end | 1 | | −27% (0%) | −48% (0%) | −110% (0%) |
| EV/Sales below industry | Traditional | offer | 3 | | −5% (33%) | −32% (33%) | −76% (0%) |
| EV/Sales below industry | Traditional | first month-end | 3 | | −24% (33%) | −48% (0%) | −90% (0%) |
| Comps value above offer | Traditional | offer | 4 | | +4% (50%) | −15% (50%) | −57% (0%) |
| Comps value above offer | Traditional | first month-end | 4 | | −11% (50%) | −27% (25%) | −68% (0%) |
| DCF value above offer | Traditional | offer | 2 | | −13% (50%) | −33% (0%) | +24% (100%) |
| DCF value above offer | Traditional | first month-end | 2 | | −8% (0%) | −29% (0%) | +48% (50%) |
| Buy every IPO | Benchmark | offer | 19 | | +15% (58%) | +24% (42%) | +20% (53%) |
| Buy every IPO | Benchmark | first month-end | 19 | | −13% (16%) | −11% (26%) | −7% (26%) |
| Short hottest third | Quant | first month-end | 7 | | +34% (100%) | +20% (86%) | +72% (100%) |
| Short new-issue basket | Quant | first month-end | 19 | | +13% (84%) | +11% (74%) | +7% (74%) |

| Strategy | Type | Entry | Trades | 1 month | 6 months | 1 year | 3 years |
|---|---|---|---|---|---|---|---|
| Flip allocation | Quant | offer | 19 | +32% (79%) | | | |
| Wait for lock-up, then buy | Quant | month 6 | 19 | | | +25% (37%) | |

Each cell: mean excess return vs the index (share of trades that beat it). Short positions earn the index return minus the stock's. Flipping is the raw gain from the offer to the first month-end. Before costs.

> Traditional valuation rarely called an IPO cheap, and its picks did not beat the index: most rules bought 1–4 of the 19 deals. The size of the valuation gap did not predict returns either — rank correlation of the comps gap with 1-year excess return −0.50, DCF gap −0.36 (positive would mean cheap IPOs did better). Over the same deals, flipping allocations and shorting the hottest third did better. Pilot sample: treat as indicative.

### How each IPO was valued at its offer price

The IPO's multiple at the offer price against its industry (Damodaran, January of the IPO year). Comps and DCF gaps: fair value ÷ offer value − 1; positive = priced cheap.

| Deal | EV/EBITDA (ind.) | EV/Sales (ind.) | P/E (ind.) | Div. yield (ind.) | Comps gap | DCF gap | Traditional rules that buy | 3y vs index |
|---|---|---|---|---|---|---|---|---|
| Kenvue | 14.6x (16.8x) | 3.0x (3.6x) | 25.9x (27.7x) | 3.6% (2.2%) | +21% | −62% | Dividend yield above industry; P/E below industry; EV/EBITDA below industry; EV/Sales below industry; Comps value above offer | −99 |
| Coupang | – (41.7x) | 4.7x (5.6x) | – (65.4x) | – (0.0%) | +19% | −89% | EV/Sales below industry; Comps value above offer | −87 |
| Warner Music | 24.6x (21.8x) | 3.4x (4.7x) | 49.8x (38.1x) | 1.9% (0.6%) | +16% | −59% | Dividend yield above industry; EV/Sales below industry; Comps value above offer | −40 |
| Synchrony | – (35.3x) | – (8.7x) | 9.6x (16.5x) | – (1.0%) | +5% | | P/E below industry; Comps value above offer | −2 |
| HCA Healthcare | 7.1x (6.8x) | 1.3x (0.6x) | 12.8x (13.5x) | – (0.4%) | −3% | −50% | P/E below industry | +70 |
| Saudi Aramco | 7.5x (3.7x) | 4.7x (0.6x) | 15.4x (10.3x) | 4.4% (4.8%) | −42% | +98% | DCF value above offer | +10 |
| Airbnb | – (22.8x) | 7.5x (3.4x) | – (65.2x) | – (0.1%) | −49% | −81% | none | +67 |
| Hilton | 19.5x (10.7x) | 3.5x (2.4x) | 55.9x (27.4x) | – (1.6%) | −51% | −113% | none | +10 |
| Zoetis | 17.4x (8.9x) | 3.8x (3.1x) | 29.8x (15.4x) | 1.0% (3.1%) | −55% | −63% | none | +26 |
| Facebook (Meta) | 33.9x (17.1x) | 19.0x (3.9x) | 81.2x (31.9x) | – (0.0%) | −61% | +8% | DCF value above offer | +38 |
| Alibaba | 37.4x (25.3x) | 18.7x (0.8x) | 44.1x (–) | – (0.1%) | −61% | −45% | none | +118 |
| Snap | – (20.7x) | 40.3x (6.8x) | – (64.8x) | – (0.1%) | −69% | −98% | none | −46 |
| Ferrari | 15.7x (7.9x) | 3.9x (0.9x) | 37.4x (11.1x) | – (4.2%) | −70% | −59% | none | +94 |
| Uber | – (8.3x) | 5.8x (1.2x) | 75.9x (14.4x) | – (2.3%) | −75% | −61% | none | −106 |
| Twitter | – (23.2x) | 38.1x (4.2x) | – (39.3x) | – (0.0%) | −76% | −77% | none | −58 |
| Snowflake | – (24.0x) | 107.9x (8.8x) | – (46.9x) | – (0.7%) | −79% | −88% | none | −6 |
| Arm Holdings | 60.7x (8.6x) | 19.1x (2.8x) | 99.9x (20.9x) | – (1.1%) | −83% | −89% | none | +383 |
| Zoom | 654.0x (20.2x) | 26.1x (7.0x) | 1217.0x (70.8x) | – (1.0%) | −90% | −93% | none | +129 |
| Rivian | – (45.7x) | – (3.6x) | – (123.2x) | – (0.3%) | | | none | −123 |

# Asia: Korea, India, Hong Kong and China A-shares

131 listings worth $5bn+ at the offer, 2010–2025: Korea 10, India 28, Hong Kong 60, China A-shares 33. Same returns, rules and statistics as the US + global study.

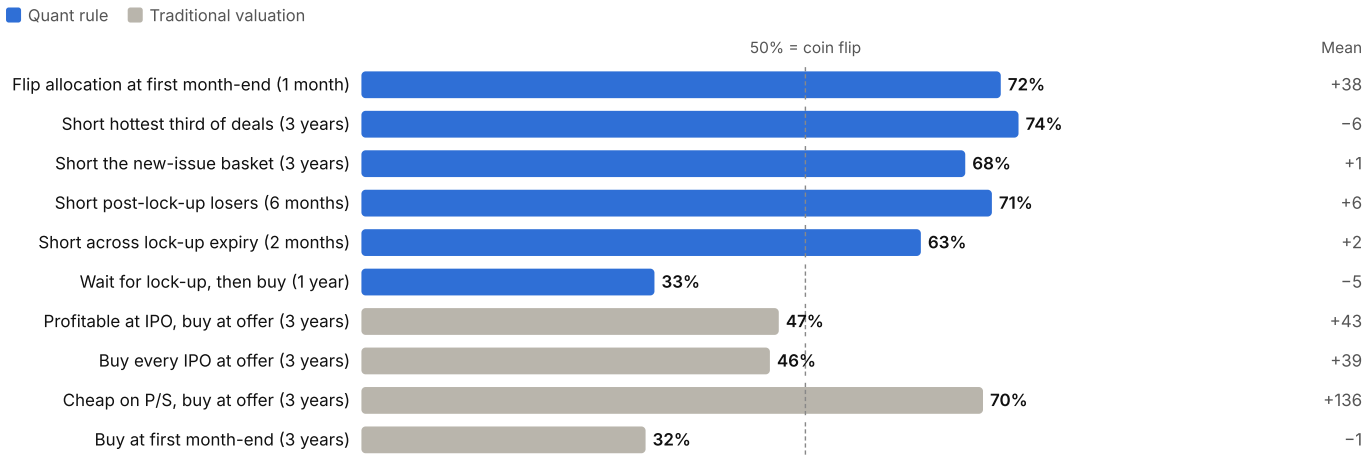
> The same pattern holds in Asia: allocations made money (median first-month gain +15%), but buying after listing lagged the local index — median −25 pts over 3 years, with 32% of deals ahead. The lag was worst in India (−40) and Korea (−35), mildest in China A (−12), where regulators long held offer prices down and first-month gains are largest (median +47%). Shorting the hottest third was right 74% of the time (79% outside 2020–21) but its mean is −6 pts: a few China A deals that kept soaring (mean −71 pts within China A) wipe out the gains, so the rule needs position limits there. One difference from the US + global study: IPOs that were cheap on price-to-sales did better here (70% beat the index over 3 years from the offer, median +32 pts), though Asian revenues are approximate.

| Market or variant | Deals | 1st-month gain | 1y excess after listing | 3y excess after listing | Beat index 3y | 3y excess from offer | Short hottest third, mean 3y | Right |
|---|---|---|---|---|---|---|---|---|
| All Asia ($5bn+, 2010-2025) | 131 | +15% | −15 | −25 | 32% | −5 | −6 | 74% |
| Korea | 10 | +27% | −25 | −35 | 10% | −33 | +76 | 100% |
| India | 28 | +18% | −23 | −40 | 31% | −52 | +16 | 50% |
| Hong Kong | 60 | +4% | −9 | −24 | 33% | −15 | +34 | 87% |
| China A-shares | 33 | +47% | −19 | −12 | 39% | +31 | −71 | 67% |
| Very large only ($10bn+) | 81 | +10% | −17 | −25 | 29% | −8 | +17 | 83% |
| Excluding the 2020-21 boom | 106 | +11% | −10 | −18 | 35% | 0 | −24 | 79% |
| First half only: 2010-2018 listings | 59 | +7% | −10 | −15 | 34% | +1 | −20 | 79% |
| Second half only: 2019-2025 listings | 72 | +26% | −25 | −32 | 30% | −16 | +27 | 69% |

Benchmarks: KOSPI 200 (KODEX 200 ETF) for Korea, Nifty 50 (Nifty BeES) for India, Hang Seng (Tracker Fund) for Hong Kong, CSI 300 for China A-shares; total return in local currency. Market rows re-rank the hottest third within that market.

### Rules across all Asian deals

Share of deals where the rule beat the local index (flipping: share above the offer price). Mean excess at right.




### Asian valuation pilot: Hong Kong, China A and India

15 prospectuses (Hong Kong 5, China A 5, India 5), valued with the same comps and DCF rules as the US pilot. Most were priced rich (median comps gap −32%, DCF gap −37%). Unlike the US pilot, the gap pointed the right way here: rank correlation with 3-year excess from the offer +0.28 for comps and +0.47 for DCF. Comps called Hindustan Aeronautics, Foxconn Industrial Internet, CATL (A), Mindray Medical cheap; three of these are China A listings, whose offer prices regulators held below market multiples.

| Deal | Market | EV/EBITDA (ind.) | P/E (ind.) | Comps gap | DCF gap | 1y vs index | 3y vs index |
|---|---|---|---|---|---|---|---|
| CATL (A) | China A | 6.6x (22.4x) | 14.1x (48.4x) | +98% | +122% | +163 | +1979 |
| Foxconn Industrial Internet | China A | 9.9x (17.7x) | 17.1x (87.6x) | +95% | −104% | −22 | −63 |
| Hindustan Aeronautics | India | 9.8x (18.6x) | 16.7x (35.9x) | +64% | −35% | −55 | −53 |
| Mindray Medical | China A | 15.1x (26.3x) | 22.9x (53.8x) | +43% | −7% | +242 | +621 |
| Smoore International | Hong Kong | 21.1x (20.8x) | 30.0x (49.4x) | −11% | +29% | +163 | −17 |
| Coal India | India | 11.5x (8.6x) | 15.7x (16.3x) | −19% | −4% | +53 | +16 |
| Beijing-Shanghai High-Speed Railway | China A | 12.3x (10.3x) | 23.4x (17.5x) | −20% | −35% | −24 | −5 |
| China National Nuclear Power | China A | 17.7x (8.3x) | 21.3x (22.1x) | −32% | −263% | +130 | +89 |
| Nongfu Spring | Hong Kong | 26.1x (11.4x) | 43.5x (32.6x) | −56% | −34% | +78 | +133 |
| Zomato (Eternal) | India | – (12.9x) | – (–) | −58% | −87% | −48 | +138 |
| Xiaomi | Hong Kong | 47.1x (17.7x) | 57.7x (40.5x) | −59% | −80% | −48 | +49 |
| Haidilao | Hong Kong | 38.3x (10.4x) | 68.8x (36.0x) | −68% | −37% | +91 | +71 |
| China Tower | Hong Kong | 6.8x (6.0x) | 95.3x (20.5x) | −79% | −88% | +46 | −18 |
| Nykaa (FSN E-Commerce) | India | 325.1x (12.9x) | 860.2x (–) | −83% | −187% | −20 | −55 |
| Paytm (One 97 Communications) | India | – (38.2x) | – (–) | −84% | −97% | −89 | −105 |

### Traditional rules vs quant rules on the Asian pilot deals

| Strategy | Type | Entry | Trades | 1 month | 6 months | 1 year | 3 years |
|---|---|---|---|---|---|---|---|
| Dividend yield above industry | Traditional | offer | 2 | | −13% (50%) | −39% (0%) | −29% (0%) |
| Dividend yield above industry | Traditional | first month-end | 2 | | −30% (0%) | −54% (0%) | −41% (0%) |
| P/E below industry | Traditional | offer | 7 | | +158% (71%) | +96% (71%) | +368% (57%) |
| P/E below industry | Traditional | first month-end | 7 | | +11% (57%) | −11% (29%) | +81% (29%) |
| EV/EBITDA below industry | Traditional | offer | 4 | | +84% (50%) | +82% (50%) | +621% (50%) |
| EV/EBITDA below industry | Traditional | first month-end | 4 | | −5% (50%) | −14% (25%) | +170% (50%) |
| EV/Sales below industry | Traditional | offer | 4 | | +84% (50%) | +82% (50%) | +621% (50%) |
| EV/Sales below industry | Traditional | first month-end | 4 | | −5% (50%) | −14% (25%) | +170% (50%) |
| Comps value above offer | Traditional | offer | 4 | | +84% (50%) | +82% (50%) | +621% (50%) |
| Comps value above offer | Traditional | first month-end | 4 | | −5% (50%) | −14% (25%) | +170% (50%) |
| DCF value above offer | Traditional | offer | 2 | | +355% (100%) | +163% (100%) | +981% (50%) |
| DCF value above offer | Traditional | first month-end | 2 | | +42% (100%) | −21% (0%) | +261% (50%) |
| Comps and DCF both above offer | Traditional | offer | 1 | | +207% (100%) | +163% (100%) | +1979% (100%) |
| Comps and DCF both above offer | Traditional | first month-end | 1 | | +16% (100%) | −15% (0%) | +590% (100%) |

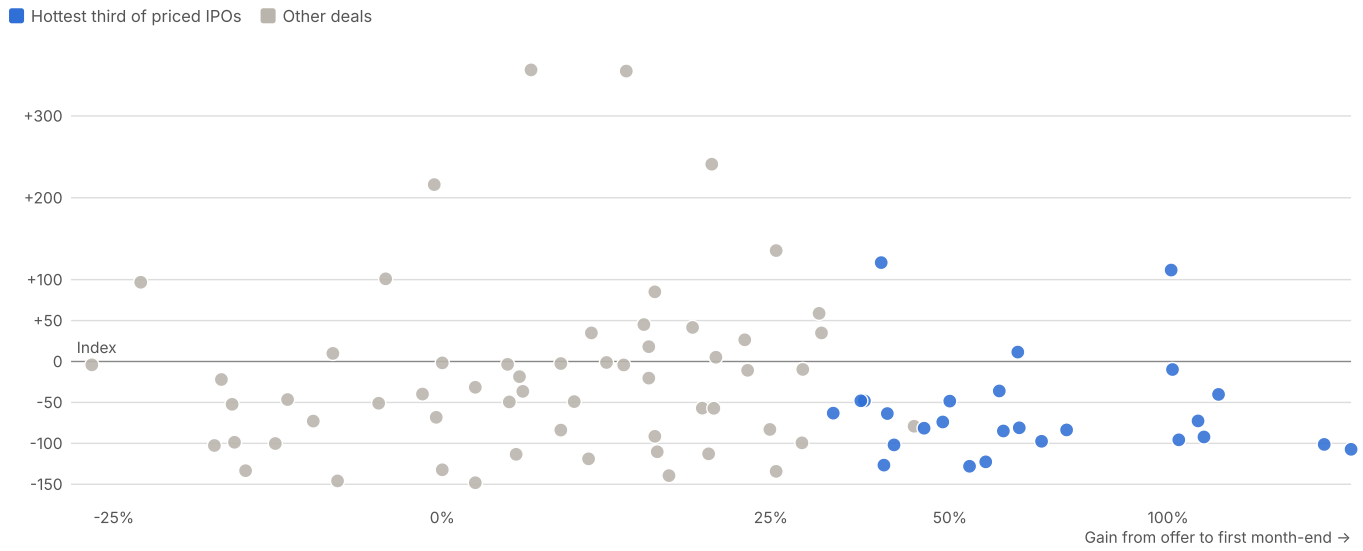
| Strategy | Type | Entry | Trades | 1 month | 6 months | 1 year | 3 years |
|---|---|---|---|---|---|---|---|
| Buy every IPO | Benchmark | offer | 15 | | +79% (73%) | +44% (53%) | +185% (53%) |
| Buy every IPO | Benchmark | first month-end | 15 | | −4% (40%) | −18% (33%) | +33% (40%) |
| Short hottest third | Quant | first month-end | 8 | | +4% (63%) | +25% (75%) | −78% (50%) |
| Short new-issue basket | Quant | first month-end | 15 | | +4% (60%) | +18% (67%) | −33% (60%) |
| Flip allocation | Quant | offer | 15 | +76% (73%) | | | |
| Wait for lock-up, then buy | Quant | month 6 | 15 | | | −1% (47%) | |

Mean excess return vs each deal's local index (share of trades that beat it). Means are dominated by CATL, which beat the CSI 300 by about 20 times its offer price over 3 years; read the share column and treat the whole table as indicative.

# Deal by deal

**Hottest third: median −77 pts over 3 years, vs −34 for the rest**

Each dot is one deal: gain from offer to first month-end (x, log-like scale) against excess return over the following 3 years (y).




| Deal | Region | Listed | Value $bn | P/S | 1st month | 1y vs index | 3y vs index | 3y after listing |
|---|---|---|---|---|---|---|---|---|
| Klarna | US | 2025-09 | 15 | 5.4x | −8% | −85 | | |
| Figma | US | 2025-07 | 19 | 23.5x | +250% | −46 | | |
| Circle | US | 2025-06 | 6.9 | 4.1x | +485% | +80 | | |
| Chime | US | 2025-06 | 9.8 | 5.8x | +28% | −46 | | |
| CoreWeave | US | 2025-03 | 19 | 10.0x | −7% | +76 | | |
| Hyundai Motor India | Global | 2024-10 | 19 | 2.3x | −7% | +3 | | |
| Lineage | US | 2024-07 | 18 | 3.4x | +10% | −61 | | |
| Viking Holdings | US | 2024-05 | 10 | 2.2x | +31% | +73 | | |
| Reddit | US | 2024-03 | 6.4 | 8.0x | +45% | +200 | | |
| Birkenstock | US | 2023-10 | 8.6 | 5.4x | −15% | −38 | −116 | −103 |
| Arm Holdings | US | 2023-09 | 55 | 20.2x | +5% | +144 | +383 | +356 |
| Instacart | US | 2023-09 | 9.9 | 3.5x | −1% | −0 | −41 | −40 |
| Klaviyo | US | 2023-09 | 9.2 | 15.3x | +15% | −18 | −133 | −139 |
| Kenvue | US | 2023-05 | 41 | 2.7x | +14% | −37 | −99 | −110 |
| Mobileye | US | 2022-10 | 17 | 10.0x | +26% | +60 | −121 | −134 |
| Corebridge | US | 2022-09 | 14 | | −6% | −18 | −3 | +10 |
| Porsche AG | Global | 2022-09 | 73 | 2.1x | 0% | −12 | −132 | −132 |
| Life Insurance Corp of India | Global | 2022-05 | 78 | | −15% | −38 | −39 | −22 |
| Dubai Electricity & Water | Global | 2022-04 | 34 | 5.7x | +13% | +6 | −5 | −20 |
| TPG | US | 2022-01 | 9.0 | | +14% | +21 | +116 | +85 |
| LG Energy Solution | Global | 2022-01 | 59 | 3.9x | +50% | +82 | −9 | −48 |
| Nubank | US | 2021-12 | 42 | 24.4x | +4% | −37 | −14 | −19 |
| HashiCorp | US | 2021-12 | 14 | 46.7x | +14% | −48 | −86 | −91 |
| Samsara | US | 2021-12 | 12 | 46.0x | +22% | −28 | +61 | +27 |
| Rivian | US | 2021-11 | 67 | 6650.0x | +54% | −50 | −123 | −128 |
| GitLab | US | 2021-10 | 11 | 55.0x | +46% | −22 | −60 | −82 |

| | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| Toast | US | 2021-09 | 20 | 16.7x | +25% | -43 | -69 | -83 |
| Freshworks | US | 2021-09 | 10 | 33.3x | +19% | -49 | -108 | -113 |
| Robinhood | US | 2021-07 | 32 | 17.8x | -8% | -72 | -77 | -73 |
| Marqeta | US | 2021-06 | 14 | 46.7x | +4% | -59 | -113 | -113 |
| Didi Global | US | 2021-06 | 68 | 3.1x | +1% | -68 | | |
| Oatly | US | 2021-05 | 10 | 22.2x | +40% | -75 | -125 | -127 |
| Coinbase (DL) | US | 2021-04 | 65 | 22.4x | +19% | -55 | -44 | -57 |
| AppLovin | US | 2021-04 | 29 | 19.1x | -28% | -52 | -38 | -4 |
| UiPath | US | 2021-04 | 29 | 48.3x | +29% | -68 | -92 | -99 |
| Roblox (DL) | US | 2021-03 | 30 | 32.1x | +44% | -13 | -53 | -79 |
| Coupang | US | 2021-03 | 60 | 5.0x | +41% | -65 | -87 | -102 |
| Bumble | US | 2021-02 | 7.7 | 13.3x | +57% | -57 | -113 | -123 |
| Kuaishou | Global | 2021-02 | 61 | 6.9x | +169% | -30 | -83 | -107 |
| Affirm | US | 2021-01 | 12 | 23.8x | +103% | +8 | -54 | -96 |
| Qualtrics | US | 2021-01 | 15 | 19.7x | +47% | -26 | | |
| DoorDash | US | 2020-12 | 39 | 17.0x | +40% | +17 | -36 | -64 |
| Airbnb | US | 2020-12 | 47 | 13.1x | +116% | +116 | +67 | -40 |
| JD Health | Global | 2020-12 | 29 | 11.6x | +111% | -31 | -63 | -92 |
| Snowflake | US | 2020-09 | 33 | 82.5x | +109% | +122 | -6 | -73 |
| Unity | US | 2020-09 | 14 | 19.6x | +68% | +113 | -73 | -98 |
| Palantir (DL) | US | 2020-09 | 16 | 17.8x | +31% | +202 | +87 | +35 |
| Nongfu Spring | Global | 2020-09 | 31 | 9.1x | +63% | +59 | +95 | +12 |
| Beike (KE Holdings) | US | 2020-08 | 24 | 3.9x | +156% | -41 | -49 | -101 |
| XPeng | US | 2020-08 | 11 | 110.0x | +37% | +152 | -16 | -48 |
| Li Auto | US | 2020-07 | 10 | 50.0x | +39% | +154 | +226 | +121 |
| Warner Music | US | 2020-06 | 13 | 2.8x | +18% | +5 | -40 | -57 |
| Royalty Pharma | US | 2020-06 | 17 | 9.4x | +73% | +8 | -35 | -84 |
| Saudi Aramco | Global | 2019-12 | 1,700 | 5.2x | +10% | -3 | +10 | -1 |
| Datadog | US | 2019-09 | 7.8 | 26.9x | +26% | +263 | +203 | +136 |
| Peloton | US | 2019-09 | 8.1 | 8.8x | -13% | +227 | -102 | -99 |
| Budweiser APAC | Global | 2019-09 | 46 | 7.1x | +4% | -27 | -33 | -37 |
| CrowdStrike | US | 2019-06 | 6.6 | 26.4x | +101% | +188 | +361 | +112 |
| Chewy | US | 2019-06 | 8.8 | 2.5x | +59% | +96 | +23 | -36 |
| Slack (DL) | US | 2019-06 | 16 | 39.2x | +44% | +12 | | |
| Uber | US | 2019-05 | 82 | 7.3x | -10% | -32 | -106 | -100 |
| Pinterest | US | 2019-04 | 13 | 12.7x | +63% | +8 | -39 | -81 |
| Zoom | US | 2019-04 | 9.2 | 27.9x | +101% | +275 | +129 | -10 |
| Lyft | US | 2019-03 | 24 | 11.0x | +9% | -56 | -115 | -119 |
| Tencent Music | US | 2018-12 | 21 | 7.8x | +2% | -41 | -147 | -148 |
| SoftBank Corp | Global | 2018-12 | 64 | 1.9x | -9% | -24 | -59 | -47 |
| Nio | US | 2018-09 | 6.4 | 128.0x | +12% | -79 | +414 | +355 |
| Meituan | Global | 2018-09 | 55 | 8.9x | -0% | +15 | +215 | +216 |
| Pinduoduo | US | 2018-07 | 24 | 18.5x | +19% | +9 | +318 | +241 |
| Xiaomi | Global | 2018-07 | 54 | 3.1x | +4% | -50 | +2 | -4 |
| AXA Equitable | US | 2018-05 | 11 | | +7% | +2 | +8 | -3 |
| Spotify (DL) | US | 2018-04 | 27 | 5.3x | +23% | -11 | +24 | -11 |
| Dropbox | US | 2018-03 | 9.2 | 8.4x | +49% | -6 | -32 | -74 |
| iQiyi | US | 2018-03 | 13 | 4.7x | -14% | +24 | -67 | -52 |
| Siemens Healthineers | Global | 2018-03 | 35 | 2.1x | +19% | +33 | +33 | +5 |
| Altice USA | US | 2017-06 | 22 | 2.4x | +8% | -44 | -42 | -49 |
| Snap | US | 2017-03 | 24 | 60.0x | +33% | -20 | -46 | -63 |
| Japan Post Holdings | Global | 2015-11 | 52 | | +36% | +1 | -19 | -48 |
| Ferrari | US | 2015-10 | 9.8 | 3.1x | -3% | -2 | +94 | +101 |
| Alibaba | US | 2014-09 | 168 | 19.8x | +31% | -13 | +118 | +59 |
| Citizens Financial | US | 2014-09 | 12 | | +9% | +14 | +50 | +35 |
| Synchrony | US | 2014-07 | 19 | | 0% | +38 | -2 | -2 |
| Ally Financial | US | 2014-04 | 12 | | -3% | -25 | -54 | -51 |
| Santander Consumer | US | 2014-01 | 8.3 | | +7% | -39 | -80 | -84 |
| Hilton | US | 2013-12 | 20 | 2.1x | +11% | +17 | +10 | -4 |

| | | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| Twitter | US | 2013-11 | 14 | 26.8x | +60% | +44 | −58 | −85 |
| Zoetis | US | 2013-02 | 13 | 3.0x | +29% | −5 | +26 | −10 |
| Facebook (Meta) | US | 2012-05 | 104 | 26.7x | −22% | −63 | +38 | +97 |
| Zynga | US | 2011-12 | 7.0 | 6.4x | −6% | −92 | −148 | −146 |
| Groupon | US | 2011-11 | 13 | 9.1x | −13% | −95 | −139 | −133 |
| Glencore | Global | 2011-05 | 60 | 0.4x | −0% | −23 | −68 | −68 |
| HCA Healthcare | US | 2011-03 | 16 | 0.5x | +13% | −20 | +70 | +45 |
| Kinder Morgan | US | 2011-02 | 21 | 2.6x | +2% | +17 | −30 | −32 |
| Nielsen | US | 2011-01 | 8.2 | 1.6x | +13% | +22 | +40 | +18 |
| General Motors | US | 2010-11 | 50 | 0.4x | +4% | −43 | −45 | −49 |
| AIA Group | Global | 2010-10 | 31 | | +17% | +24 | +72 | +42 |

Excess in percentage points vs the index; "1y" and "3y" measured from the offer price (reference price for direct listings, marked DL). Blank = horizon not reached or company acquired.

## Check it yourself

1. Get the code and data: https://github.com/YOUR-NAME/ipo-valuation-vs-quant
2. Run the tests and rebuild every number on this page:

```
pip install -e ".[test]"
make test        # unit, data-integrity and regression tests
make results     # writes results/results.json and deal_returns.csv
make robustness  # the table above
ipo-study run --universe asia          # Korea, India, Hong Kong, China A
ipo-study valuation --universe asia    # Hong Kong comps/DCF pilot
```

3. Rebuild prices from a second source and compare: `make crosscheck` (downloads from Yahoo Finance).
4. Change an assumption: `ipo-study run --min-mcap 10 --region US --exclude-cohort 2020-21 --bootstrap 2000`
5. Found an error? Open an issue with the deal, the field, the correct value and a source link. Corrections are logged in `data/corrections.csv`.

## Method and limits

- **Universe:** 96 listings worth $5bn or more at the offer price, 2010–2025: 79 US (including 5 direct listings) and 17 global. Five deals excluded for lack of monthly prices.
- **Returns:** buy-and-hold total return from month-end closes (adjusted for splits and dividends), minus the benchmark's total return over the same months.
- **Traditional valuation (pilot):** each IPO's EV/EBITDA, EV/Sales, P/E and dividend yield at the offer price (P/B for financials) against Damodaran's industry multiples for the IPO year and region, and a 10-year DCF with the same rules for every deal. Inputs come from the final prospectus (424B4) and SEC XBRL data; every row links to its filing.
- **Simple screens (all 96 deals):** profitability at IPO, price-to-sales against the sample median.
- **Quant rules:** reconstructed from published research (long-run underperformance, hot-issue fade, lock-up expiry, post-lock-up momentum). They are not any fund's actual strategy.
- **Limits of the valuation pilot:** 19 deals (Porsche excluded for lack of sourceable accounts), so each rule trades only a handful; trailing multiples, not the forward multiples bankers emphasise; basic post-IPO share counts (excluding options and RSUs), which flatter Facebook, Snap, Uber and Airbnb.
- **Not yet verified:** for the other 77 deals, offer prices and valuation inputs are approximate and not yet linked to prospectuses. Prices come from one aggregator; the cross-check against a second source has not yet been run.
- **Asia extension (v1.2):** 131 listings worth $5bn+ in Korea, India, Hong Kong (including mainland companies' H-shares; A+H dual listings tagged) and mainland China A-shares, with monthly prices from Yahoo Finance and local index benchmarks. Offer prices, sizes and revenues are approximate and not yet tied to prospectuses. Three deals have no price history (Haitong H merged, ESR taken private, Sinovel delisted); dropping delisted Sinovel flatters China A results slightly.
- **Asian valuation pilot (15 deals):** Hong Kong (Xiaomi, China Tower, Haidilao, Smoore, Nongfu Spring; HKEX prospectuses), China A (CNNP, Foxconn Industrial Internet, CATL, Mindray, Beijing–Shanghai High-Speed Railway; CNINFO prospectuses, Mindray from its annual report because the prospectus is a scanned image) and India (Coal India, HAL, Zomato, Nykaa, Paytm; prospectuses via SEBI, NSE and the lead managers). Industry benchmarks from Damodaran's China and India files, the Emerging-markets file where a country has fewer than 10 firms in the industry, and the US January 2010 file for Coal India (no earlier India file exists). Korea is not yet valued: DART's search blocks automated access, so it needs an OpenDART API key.
- **Not investment advice.** In-sample results, small groups, no costs.

Code MIT licence; text and results CC BY 4.0. Price data © its providers; see the repository's DATA.md. Cite as: Large-cap IPOs: traditional valuation vs quant rules, v1.3.0 (2026-10-19).